

EAAGADS LIMITED

ANNOUNCEMENT OF UNAUDITED INTERIM RESULTS FOR THE PERIOD ENDED 30 SEPTEMBER 2021

Statement of Profit or Loss and Other Comprehensive Income		
	30 Sep. 2021 Kshs'000	30 Sep. 2020 Kshs'000
Revenue	57,230	67,013
Fair value gain on biological assets	4,564	4,395
Cost of production	<u>(48,369)</u>	<u>(47,144)</u>
Gross profit	13,425	24,264
Administration costs	<u>(11,935)</u>	<u>(14,097)</u>
Profit before taxation	1,490	10,167
Tax charge	<u>(1,865)</u>	<u>(942)</u>
(Loss)/profit for the period	(375)	9,225
Total comprehensive (loss)/ income for the year	<u>(375)</u>	<u>9,225</u>
Basic and Diluted earnings per share	(0.01)	0.29

Statement of Financial Position		
	30 Sep. 2021 Kshs'000	30 Sep. 2020 Kshs'000
EQUITY		
Share capital	40,196	40,196
Revaluation surplus	857,586	689,116
Retained earnings	<u>111,527</u>	<u>111,768</u>
	<u>1,009,309</u>	<u>841,080</u>
Non-current liabilities	77,739	56,691
Current liabilities	<u>33,416</u>	<u>46,136</u>
	<u>111,155</u>	<u>102,827</u>
Total equity and non-current liabilities	<u>1,120,464</u>	<u>943,907</u>
REPRESENTED BY:-		
Non-current assets	997,105	831,377
Current assets	<u>123,359</u>	<u>112,530</u>
	<u>1,120,464</u>	<u>943,907</u>

Statement of changes in Equity	Share capital	Revaluation surplus	Retained earnings	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 1 April 2021	40,196	857,586	111,902	1,009,684
Loss for the period	-	-	(375)	(375)
At 30 September 2021	<u>40,196</u>	<u>857,586</u>	<u>111,527</u>	<u>1,009,309</u>

Statement of Cash Flows	30 Sep. 2021	30 Sep. 2020
	Kshs'000	Kshs'000
Net cash (used in) /generated from operating activities	(3,257)	13,973
Net cash used in investing activities	-	-
Net cash generated from /(used in) financing activities	<u>4,191</u>	<u>(15,176)</u>
Net increase / (decrease) in cash and cash equivalents	934	(1,204)
Cash and cash equivalents at the beginning of the year	1,258	3,849
Cash and cash equivalents at 30 September 2021	<u>2,192</u>	<u>2,645</u>

RESULTS SUMMARY

The above are extracts of the un-audited financial statements of Eaagads Limited that were approved by the Board of directors on 19 November 2021.

PERFORMANCE

In the 6 month period under review, the company produced 83 tons of clean coffee compared to 123 tons of clean coffee in the same period last year. The decrease was mainly attributed to prolonged cold weather experienced in the half-year which led to intermittent flower formation of the 2021 early crop. Sales revenues decreased from Kshs. 67 million to Kshs. 57 million in the current period. The average price realized for the 6 month period however improved, with a kilogram of clean coffee fetching on average USD 6.62 compared to USD 5.07 per kilogram last year.

Due to the dip in coffee tonnages sold, profit before tax decreased from Kshs. 10 million to Kshs. 1.4 million. Coffee upkeep costs, picking costs and wet processing costs increased by KShs 1.2 million. Crop commission charges reduced by KShs 2.5 million. Farm management fees remained constant at USD 90 per hectare per year.

OUTLOOK

The company is on target towards achieving its late crop harvest, pegged at 200 Tons. The future of the farm looks promising as evidenced by the good flowering currently exhibited by the trees for 2022/23 production season. Although the weather forecast indicate the short rains to be poor, Eaagads farm management has put in place measures to ensure that the current crop on the tree is preserved and attained. The prices are expected to remain stable owing an anticipated global coffee production shortfall to meet the current global demand. This will put the farm in a better position to improve its profitability.

DIVIDEND

The board of directors do not recommend payment of an interim dividend for the period ended 30 September 2021 (30 September 2020: Nil)

By the Order of the Board

Company Secretary

19 November 2021